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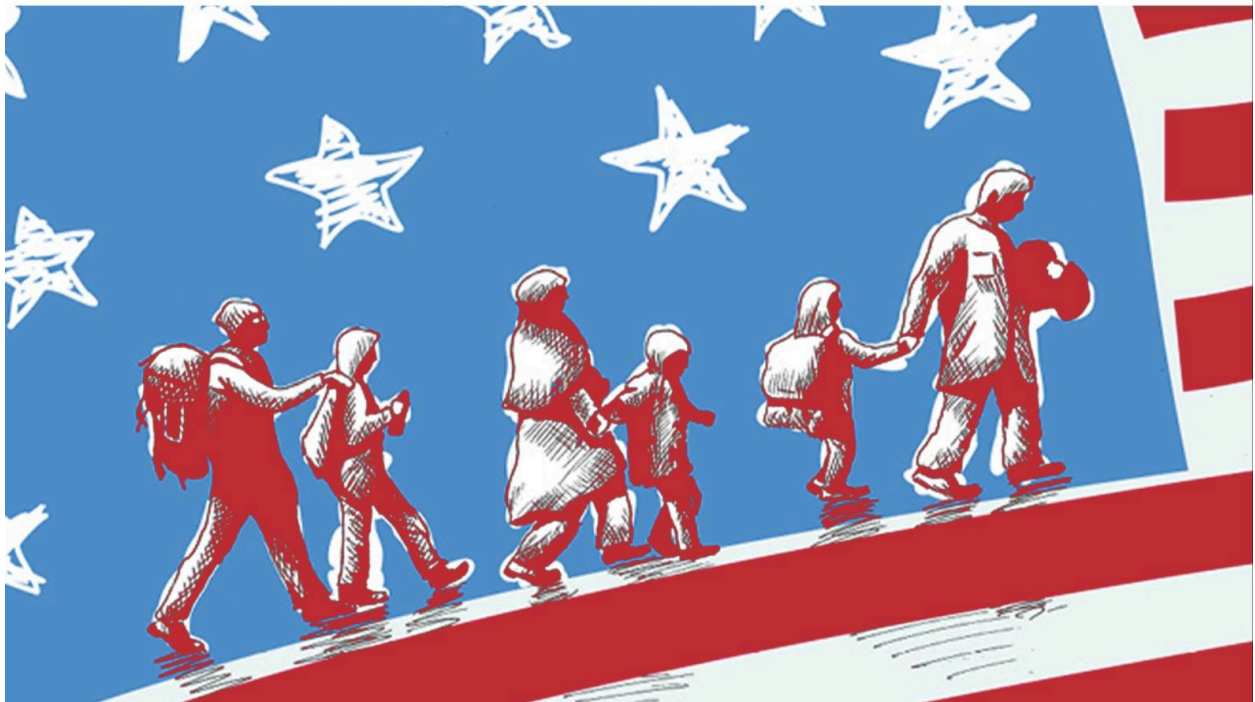


Colin Powell School
for Civic and Global Leadership

Are Immigrants Economically Essential?

A Data-Driven Analysis Using CPS Microdata

Federico Ciandri, Romulo Jimenez, & Marwan Kenawy
December 2025



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1. Introduction

Immigrants play a central role in the economic and social fabric of the United States, yet discussions about their impact often rely on perception rather than evidence. In fact, almost 1 out of 5 workers in the US is an immigrant, highlighting their substantial presence in the labor market (Politano, 2025). This project aims to provide a clear, data-driven examination of immigrants' economic contribution by using microdata from the IPUMS Current Population Survey (CPS). Rather than judging what is right or wrong, the objective is to present significant, transparent, and relevant data that allow readers to develop their own informed conclusions.

Previous research strongly supports the idea that immigrants are an important source of economic dynamism. The Immigration and the Economy of Cities and Regions report shows that immigrant populations stimulate regional productivity and growth. Giovanni Peri's *Immigrants, Productivity, and Labor Markets* demonstrates that immigrants raise overall productivity through task specialization, complementing the native-born workforce rather than replacing it, noting that "the impact of immigrants on the wages of native workers is close to zero and often positive" (Peri, 2016). The National Academies' *Economic and Fiscal Consequences of Immigration* further concludes that immigrants contribute positively to long-run economic output and fiscal balances. Together, these studies suggest that immigrants are active and economically valuable participants in the United States - an idea this project seeks to test directly using CPS microdata. (National Academy of Sciences, 2017).

The central research question guiding this project is whether immigrants are economically active and productive contributors to the U.S. economy based on their income, employment patterns, industry distribution, and labor supply. To explore this question, the analysis uses individual-level CPS data to identify immigrants through birthplace, citizenship, and year of arrival, and then examines their income levels, hours worked, and the types of industries and occupations in which they are employed. By comparing these indicators with those of native-born individuals, the project investigates whether immigrants participate in key sectors, supply substantial labor, and generate meaningful income - markers of economic contribution.

Section 3 outlines the dataset and variables used, presents the descriptive statistics, and develops the visual graphs that will help readers clearly follow the patterns in the data. The project then moves to the econometric analysis, beginning with simple regressions and progressing to more complex specifications that account for education, age, gender, industry, occupation, and state differences, as described in Sections 4 and 5.

Section 6 then deepens the analysis by examining whether immigrants and natives receive different returns to labor-market experience, introducing an interaction model that helps explain why wage gaps persist or shrink over time.

By combining insights from the academic literature with empirical evidence from CPS microdata, this project evaluates how impactful immigrants are within the U.S. economy and examines whether the data support the view that immigrants are active, productive, and fundamental contributors to American society. The conclusion based on our data analysis will be presented and discussed in Section 7 (Peri, 2016).

2. Literature Review

Immigrants, Productivity, and Labor Markets by Giovanni Peri

Peri's JEP article is a synthetic review that develops a unified framework for understanding the labor market and productivity effects of immigration in rich countries. Methodologically, it combines a conceptual model with evidence from many empirical studies that use CPS and ACS microdata for the United States and similar surveys for other countries. The key analytic tool is a nested CES production function over skill cells defined by education, experience, and nativity, which allows researchers to estimate elasticities of substitution between natives and immigrants and between education groups. Within this structure, immigration is treated as a change in the supply of heterogeneous labor, and general equilibrium simulations are used to translate estimated elasticities into predicted wage effects. Peri also highlights the task specialization approach, where workers within broad education groups are differentiated by the manual, analytic, or communication tasks they perform. Studies using CPS and ACS data classify occupations by task content and examine how native and immigrant workers reallocate tasks and occupations when immigration rises.

Empirically, the literature Peri reviews shows that once you allow for capital adjustment and heterogeneity, the impact of immigration on native wages is small and often slightly positive for most education groups. National skill cell studies using CPS and Census data find that immigrants and natives within the same education experience groups are imperfect substitutes. Combined with the roughly balanced inflow of immigrants across education levels, this implies that immigration between 1980 and 2010 had near zero or modestly positive effects on wages of both non college and college educated natives. Task specialization studies using CPS and ACS find that immigrants often specialize in manual and math analytical tasks while natives shift toward communication and managerial tasks, which boosts productivity and reduces direct competition.

Compared to Lewis and Peri's chapter on cities, this article is less about spatial variation and more about skill structure and mechanisms. Compared to the National Academies report, it is more technical and focused on micro wage and task outcomes rather than fiscal accounting. Yet the conclusions line up. All three sources find small average wage impacts on natives and point to channels where immigrants raise productivity and innovation. Differences mainly reflect focus. Peri stresses task reallocation and general equilibrium wage responses. Lewis and Peri stress local externalities. The National Academies add a fiscal and intergenerational perspective.

For this project, Peri's framework speaks directly to the question of whether immigrants are economically important contributors. The evidence he summarizes shows that immigrants expand the effective supply of skills, allow natives to specialize in more communication intensive or managerial tasks, and support higher productivity without large wage losses for natives. This implies that immigrants are active contributors in production, not a passive surplus supply of labor. CPS data are exactly the backbone of many of the studies he cites, so your project can mirror their methods. With CPS you can build education experience nativity cells, estimate reduced form relationships between immigrant shares and native wages, and, if you want, implement a simplified nested CES model to infer substitution elasticities. You can also

use occupation and task classifications to test whether higher immigrant inflows are associated with native workers moving into less manual, more communication intensive jobs, which would allow you to directly test the task specialization mechanism in your own sample.

Immigration and the Economy of Cities and Regions by Ethan Lewis & Giovanni Peri

Lewis and Peri survey and synthesize a large empirical literature on how immigration affects local labor markets and productivity at the level of US cities and regions. Their conceptual framework is a general equilibrium model in which immigrants bring different skills than natives, firms adjust technology, and native workers respond through changes in specialization, occupation, and sometimes location. Methodologically, the chapter is not a single empirical study but a structured review of work that uses Census and ACS microdata and regional productivity measures, typically at the state or metropolitan area level, combined with production function approaches and shift share instruments that exploit historical settlement patterns of immigrants by origin country to identify causal effects.

The empirical studies they emphasize estimate wage, employment, and productivity equations where immigrant inflows enter as changes in local skill composition. Many contributions embed local labor markets in a nested CES production function and use IV strategies that interact national inflows by origin with pre existing local ethnic enclaves. Others estimate effects on total factor productivity or output per worker by state, again instrumenting immigrant inflows with enclave based shift share measures. The chapter also reviews work on diversity indices that treat each country of origin as a differentiated input and relate immigrant diversity to city level productivity and wages.

Relative to Peri's JEP article and the National Academies report, Lewis and Peri focus much more on spatial heterogeneity and local externalities. They stress that immigrant concentration in large urban areas can raise productivity through density, knowledge spillovers, and cultural variety, while having small or positive effects on the wages of most natives once local adjustments in specialization and technology are taken into account. This is broadly consistent with Peri's national skill cell framework and with the National Academies conclusion that long run wage effects on natives are small, but the emphasis here is on city level productivity and agglomeration rather than national averages or fiscal balances. Differences across cities in industrial structure, housing constraints, and immigrant composition explain why some localities see larger productivity gains or housing cost pressures than others.

In terms of this project's questions about whether immigrants are active and economically important contributors, this chapter is central because it shows that immigrants are not just extra workers but key drivers of regional growth. They raise human capital density, expand the variety of local services, and support higher wages in many metropolitan areas once firms and natives adjust. That directly supports the idea that immigrants matter for the dynamism of the US labor market and urban economies. With CPS data, you cannot measure total factor productivity directly at the city level, but you can apply similar methods on wages and employment. For example, you can construct local labor markets by state or large metro, define skill cells by education and experience, and relate immigrant shares in those cells to native wages and employment using reduced form regressions or a simplified CES skill cell framework. You can

also compute measures of immigrant concentration and diversity by state and test whether areas with higher immigrant presence show different wage growth or employment patterns for natives, which is a more micro version of the evidence that Lewis and Peri review.

The Economic and Fiscal Consequences of Immigration by National Academy of Sciences

The National Academies report is a comprehensive assessment that integrates demographic, labor market, and public finance analysis. Methodologically, it is a synthesis of many underlying studies rather than a single regression, but the panel draws heavily on CPS and ACS microdata for labor outcomes and on administrative data from IRS and state and local tax and expenditure records for fiscal calculations. For the labor market, they rely on the same type of wage and employment regressions that Peri summarizes, including national skill cell approaches and local area studies. For fiscal impacts, they construct generational accounts that estimate taxes paid and public benefits received by first, second, and later generation individuals over their lifetimes, combining survey based income distributions with tax rules and program cost data. The report also uses demographic projections to simulate future contributions of immigrants and their children to economic growth and government budgets.

The main conclusions are that, over a ten year horizon or longer, immigration has very small effects on average native wages and employment. Where negative wage effects appear, they are concentrated among previous immigrants and among native high school dropouts who compete more directly with low skilled new arrivals. There is little evidence that immigration reduces overall employment of natives, though it may lower hours worked for native teenagers. High skilled immigration appears to raise wages and employment for many natives, consistent with complementarity, knowledge spillovers, and innovation effects. On the fiscal side, first generation immigrants have slightly less favorable net fiscal contributions than the native born, particularly at the state and local level, largely because educating their children is expensive. But the second generation contributes more in taxes than either their parents or other natives, so that over the long run immigrants and their children have positive net fiscal effects at the federal level and often overall, even if some states bear higher education and service costs.

Relative to Lewis and Peri's city focused chapter and Peri's JEP article, the National Academies report broadens the lens. It confirms that wage and employment effects on natives are small and that many groups benefit, which is consistent with the general equilibrium and task specialization mechanisms described in those papers. But it adds that immigrants are fiscally important and central for future labor force growth. The report emphasizes that immigrants and their children account for most projected growth of the US workforce, helping to counteract population aging and supporting long run economic growth and the sustainability of social insurance programs.

This report helps one argue that immigrants are economically important not only because they participate in production and raise productivity, but also because they sustain population growth, contribute taxes, and shape the fiscal capacity of the United States. Combining these results with the city level and task specialization evidence gives a multi dimensional picture of immigrants as active workers, innovators, consumers, and taxpayers. With CPS data, you cannot reproduce the full fiscal accounting because you do not have administrative tax records, but you can approximate some of the report's labor market analysis. Using CPS, you can document wage and

employment differences between immigrants and natives by education, age, and generation, and estimate whether immigrant shares in specific skill cells are associated with wage or employment changes for natives in those cells. You can also use CPS information on hours worked and labor force participation to see whether immigration is correlated with changes in native hours or participation rates in different groups, which speaks directly to the types of labor market effects summarized by the National Academies panel.

3. Data and Descriptive Statistics

This project draws on microdata from the Integrated Public Use Microdata Series (IPUMS) version of the Current Population Survey (CPS), a nationally representative dataset widely used to analyze labor-market outcomes in the United States. The CPS provides detailed individual-level information on demographics, employment, income, industry, occupation, and migration characteristics. These features make it well suited for identifying immigrants and evaluating their economic engagement relative to native-born individuals.

To construct the analytical sample, we restrict the dataset to working-age adults between ages 25 and 64 who are in the labor force, employed, and report positive income. This restriction ensures that comparisons are made only among individuals who are actively participating in the labor market and removes noise from students, retirees, and others who are not working. Immigrant status is identified using birthplace (BPL), nativity (NATIVITY), citizenship status (CITIZEN), and year of immigration (YRIMMIG), allowing us to distinguish native-born individuals, naturalized citizens, non-citizen immigrants, and recent arrivals. Labor-market variables such as employment status (EMPSTAT), labor-force participation (LABFORCE), occupation (OCC), industry (IND), usual hours worked (UHRSWORKT), weeks worked in the past year (WKSWORK1), and total personal income (INCTOT) provide a comprehensive picture of workers' economic activity.

Overall, Section 3 establishes the empirical foundation of the project by documenting the dataset, explaining how the main variables are constructed, and presenting the initial descriptive patterns that guide the more detailed econometric analysis in Sections 4, 5 and 6.

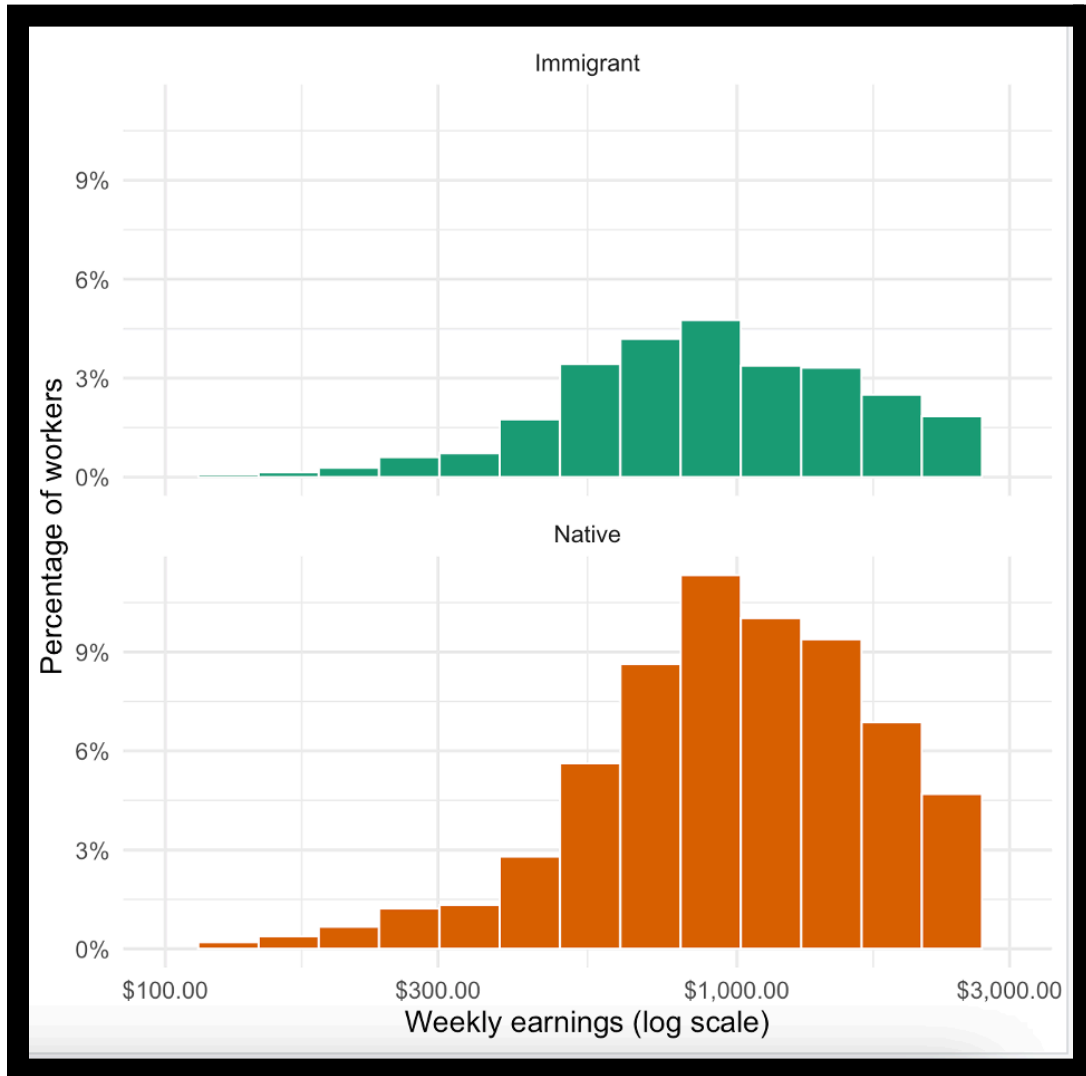
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Table 1. Summary Statistics by Immigrant Status

<i>Statistic</i>	<i>Immigrants</i>	<i>Natives</i>
<i>Sample size (n)</i>	<i>23,075</i>	<i>107,027</i>
<i>Mean weekly earnings (\$)</i>	<i>1,179</i>	<i>1,271</i>
<i>SD weekly earnings (\$)</i>	<i>770</i>	<i>743</i>
<i>Minimum weekly earnings (\$)</i>	<i>0.01</i>	<i>0.01</i>
<i>Maximum weekly earnings (\$)</i>	<i>2,885</i>	<i>2,885</i>
<i>Mean weekly hours</i>	<i>40.0</i>	<i>40.8</i>
<i>SD weekly hours</i>	<i>8.7</i>	<i>9.1</i>
<i>Mean age</i>	<i>43.9</i>	<i>43.4</i>
<i>Mean education (CPS code)</i>	<i>87.3</i>	<i>95.2</i>

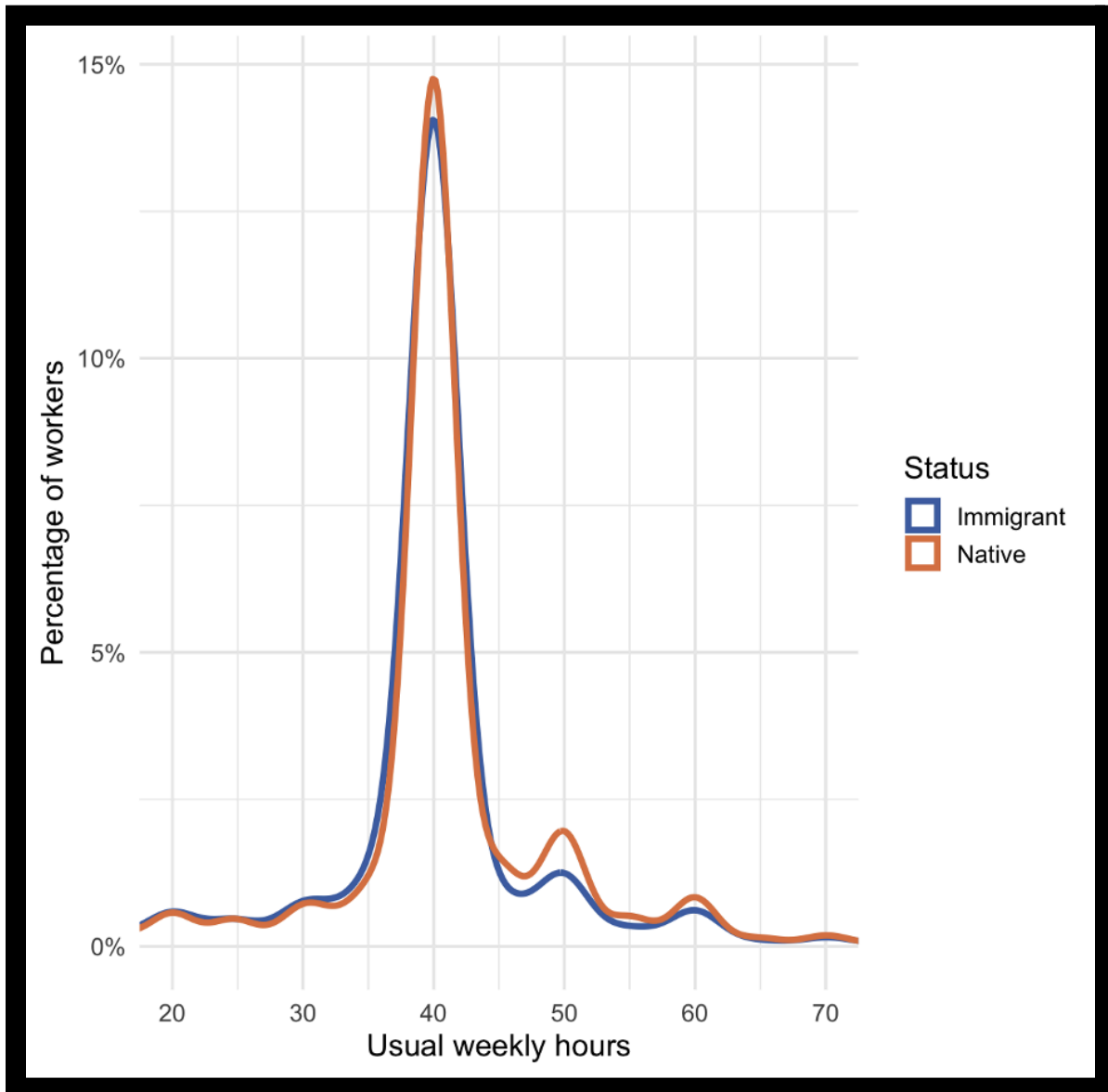
NOTE: Table 1 presents the summary statistics for immigrants and natives in our sample. The table reports sample sizes, income measures, weekly earnings, hours worked, age, and average educational attainment. These descriptive patterns offer an initial comparison across the two groups and highlight systematic differences in income, labor supply, and human-capital characteristics.

Figure 1.
Income Distribution by Immigrant Status



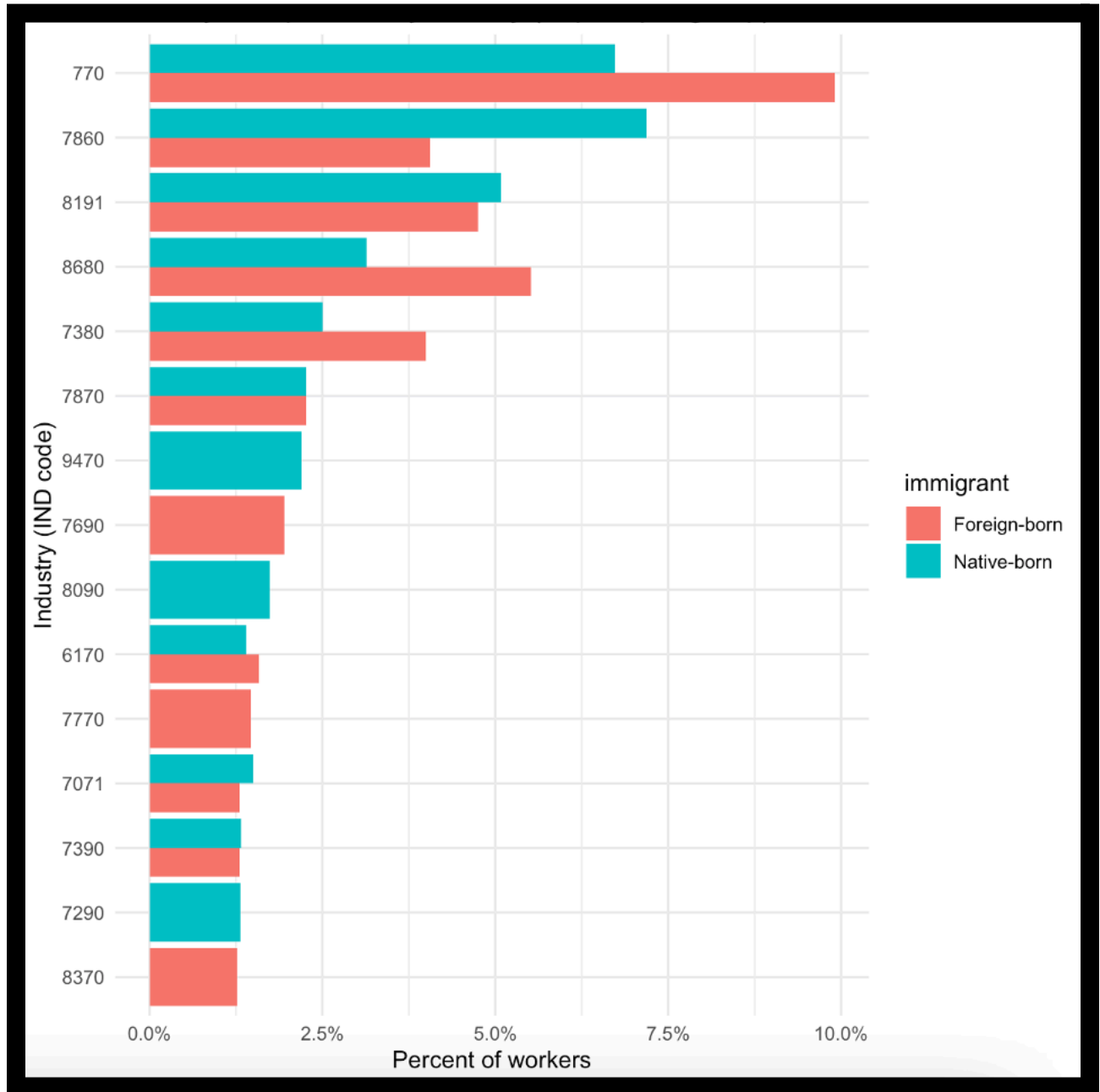
NOTE: Figure 1 shows the distribution of weekly earnings for immigrants and natives. Immigrants are more likely to be found at lower earnings levels and are less common at the top of the income distribution. This pattern reflects the basic earnings gaps in the data and helps motivate the regression analysis that follows.

Figure 2.
Weekly Hours Worked: Immigrants vs. Natives



NOTE: Figure 2 shows that immigrants and natives work very similar hours, with both groups concentrated around 40 hours per week. This suggests that differences in hours worked are not a major source of the earnings gap.

Figure 3.
Industry Composition by Nativity



NOTE: Figure 3 shows that immigrants and natives work in different industries. Immigrants are more concentrated in sectors such as restaurants and food services (IND 7860) and construction related industries (IND 7380), while natives are more represented in public administration (IND 770) and education and health services (IND 8191). These industry differences help explain part of the observed earnings gap.

4. Simple Regressions Analysis

This section presents baseline econometric results examining the relationship between immigrant status and earnings. The dependent variable in Models 1 and 2 is the logarithm of weekly earnings, $\log(\text{EARNWEEK})$, which reduces the influence of extreme values and allows coefficients to be interpreted approximately as percentage differences. Model 3 restricts the sample to immigrants and relates earnings to years spent in the United States ($\text{years_us} = \text{YEAR} - \text{YRIMMIG}$).

Model 1: Baseline Immigrant–Native Earnings Gap

$$\log(\text{EARNWEEK}) = \alpha + \beta_1 \cdot \text{Immigrant} + \varepsilon$$

The first model estimates the raw association between immigrant status and earnings with no additional controls. The coefficient on Native (relative to Immigrant) is 0.0034 ($p = 0.238$), which implies a difference of about 0.34% in weekly earnings; this estimate is not statistically significant at conventional levels. Overall, the unconditional immigrant–native earnings difference in this sample is very small.

Model 2: Adding Demographic and Human-Capital Controls

$$\log(\text{EARNWEEK}) = \alpha + \beta_1 \cdot \text{Years_in_US} + \beta_2 \cdot \text{Age} + \beta_3 \cdot \text{Age}^2 + \beta_4 \cdot \text{Female} + \beta_5 \cdot \text{Education} + \varepsilon$$

The second model adds controls for age, age squared, gender, and education. With these covariates included, the coefficient on Native is -0.0073 ($p = 0.011$), implying natives earn about -0.73% less than immigrants in weekly earnings, holding observables constant; this difference is statistically significant at the 5% level. Education is strongly and positively associated with earnings ($\beta = 0.0025$, $p < 0.01$). The female coefficient is negative ($\beta = -0.0903$, $p < 0.01$), indicating lower weekly earnings for women in this sample.

Model 3: Immigrants Only – Years in the U.S.

$$\log(\text{EARNWEEK}) = \alpha + \beta_1 \cdot \text{Years_in_US} + \beta_2 \cdot \text{Age} + \beta_3 \cdot \text{Age}^2 + \beta_4 \cdot \text{Female} + \beta_5 \cdot \text{Education} + \varepsilon$$

The third model restricts the sample to immigrants and relates earnings to years spent in the United States. The years_us coefficient is 0.000627 ($p < 0.01$), which corresponds to about a 0.063% increase in weekly earnings per additional year in the U.S., holding age, gender, and education constant. This pattern is consistent with gradual earnings assimilation over time. Education remains strongly positive, while the age and age-squared terms indicate a concave earnings profile.

Summary and Interpretation

Across these simple specifications, the immigrant–native earnings gap is close to zero in the unconditional model, but becomes statistically detectable once basic demographic and human-capital controls are included. Within the immigrant sample, years in the U.S. is positively associated with earnings, consistent with assimilation. Education is a robust and economically meaningful predictor of weekly earnings throughout.

Regression Results: Immigration and Earnings

Dependent variable: log(weekly income)

	<i>Model 1 – No Controls</i>	<i>Model 2 – With Controls</i>	<i>Model 3 – Immigrants Only</i>
<i>Immigrant status: Native (ref = Immigrant)</i>	0.0034 (0.0029)	-0.0073** (0.0029)	-
<i>Years in U.S. (years_us)</i>	-	-	0.000627*** (0.000142)
<i>Age</i>	-	0.0165*** (0.0010)	0.0177*** (0.0021)
<i>Age²</i>	-	-0.000160*** (0.000012)	-0.000179*** (0.000024)
<i>Female</i>	-	-0.0903*** (0.0027)	-0.0901*** (0.0053)
<i>Education (EDUC)</i>	-	0.0025*** (0.0001)	0.0023*** (0.0001)
<i>Constant</i>	8.6995*** (0.0024)	8.1160*** (0.0222)	6.8680*** (0.2898)
<i>Observations</i>	577,355	577,355	149,770
<i>R-squared</i>	0.000002	0.005937	0.006493

Notation: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Notes: Coefficients are from weighted OLS using WTFINL. Standard errors in parentheses.

5. More Complex Regressions

State Fixed Effects

Model:

$$\log(\text{income}) = \beta_0 + \beta_1 \text{Immigrant} + X\beta + \gamma s + \varepsilon$$

Purpose:

Different states have very different wage levels, costs of living, and labor market conditions. If immigrants are unevenly distributed across states, failing to control for location may bias the estimated immigrant wage gap.

Key Finding:

After controlling for state fixed effects, the immigrant coefficient is small and positive ($\approx +0.008$) and statistically significant.

Interpretation:

Once immigrants and natives are compared within the same state, immigrants earn slightly more than natives on average. This suggests that earlier wage gaps were partly driven by geographic sorting across states, not lower pay within states.

Industry Fixed Effects (with State Controls)

Model:

$$\log(\text{income}) = \beta_0 + \beta_1 \text{Immigrant} + X\beta + \gamma s + \delta j + \varepsilon$$

Purpose:

Immigrants and natives work in very different industries, which have systematically different pay levels. Adding industry fixed effects isolates wage differences within the same industry.

Key Finding:

With industry controls added, the immigrant coefficient becomes more positive ($\approx +0.010$) and remains statistically significant.

Interpretation:

Controlling for industry composition increases the relative earnings of immigrants. This indicates that immigrants are disproportionately concentrated in lower-paying industries, and once this sorting is accounted for, immigrants earn slightly more than natives within industries.

Interaction Model: Immigrant × Education

Model:

$$\log(\text{income}) = \beta_0 + \beta_1 \text{Immigrant} + \beta_2 \text{Education} + \beta_3 (\text{Immigrant} \times \text{Education}) + X\beta + \gamma s + \varepsilon$$

Goal:

Examine whether the immigrant–native wage gap differs by education level.

Key Finding:

The interaction term Immigrant × Education is negative and highly significant.

Interpretation:

Each additional year of education increases earnings for both groups, but education yields slightly smaller returns for immigrants than for natives. This suggests that factors such as credential transferability or labor market frictions may limit how fully immigrants can convert education into wages.

Robustness Checks

A. Full-Time Workers Only

Sample Restriction:

Workers reporting ≥ 35 hours per week.

Model:

$$\log(\text{income}) = \beta_0 + \beta_1 \text{Immigrant} + X\beta + \gamma s + \varepsilon$$

Purpose:

Ensure results are not driven by differences in part-time work or hours supplied.

Key Finding:

Among full-time workers, the immigrant coefficient remains positive ($\approx +0.008$) and statistically significant.

Interpretation:

When comparing full-time workers only, immigrants and natives earn very similar wages, with immigrants earning slightly more. This suggests that earlier wage differences are not driven by hours worked.

B. Men vs. Women

Men: Immigrant coefficient is positive and statistically significant ($\approx +0.009$).

Women: Immigrant coefficient is small and statistically insignificant.

Interpretation:

Among men, immigrants earn modestly more than native men within the same state, industry, and occupation. Among women, there is no statistically meaningful wage difference between immigrants and natives. This suggests that immigrant wage advantages are concentrated among men, while outcomes for women are broadly similar across nativity.

C. Recent vs. Long-Term Immigrants

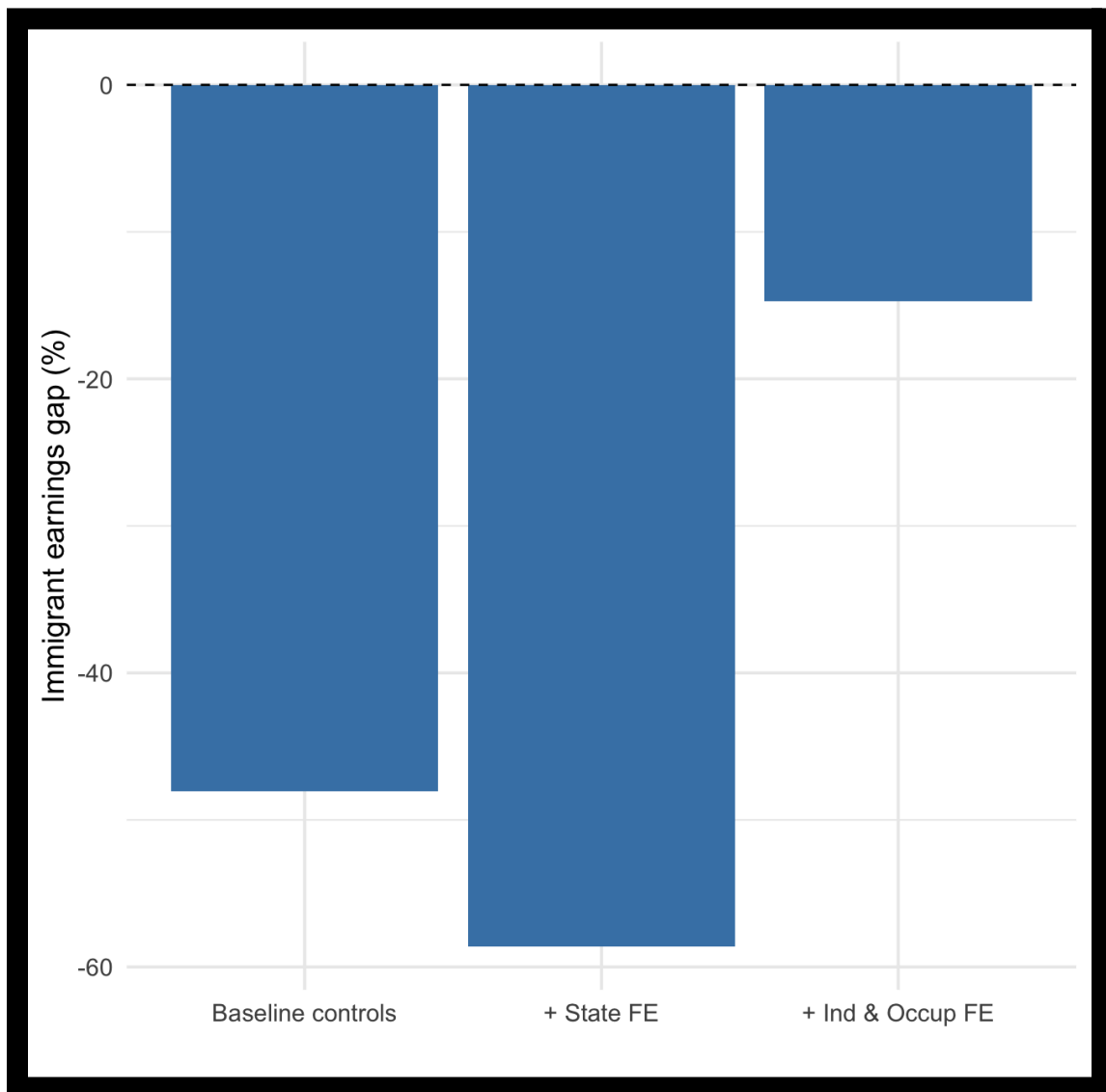
Recent arrivals (≥ 2010): larger penalties and more variance.

Long-term immigrants (< 2010): stronger education returns and smaller penalties.

Interpretation:

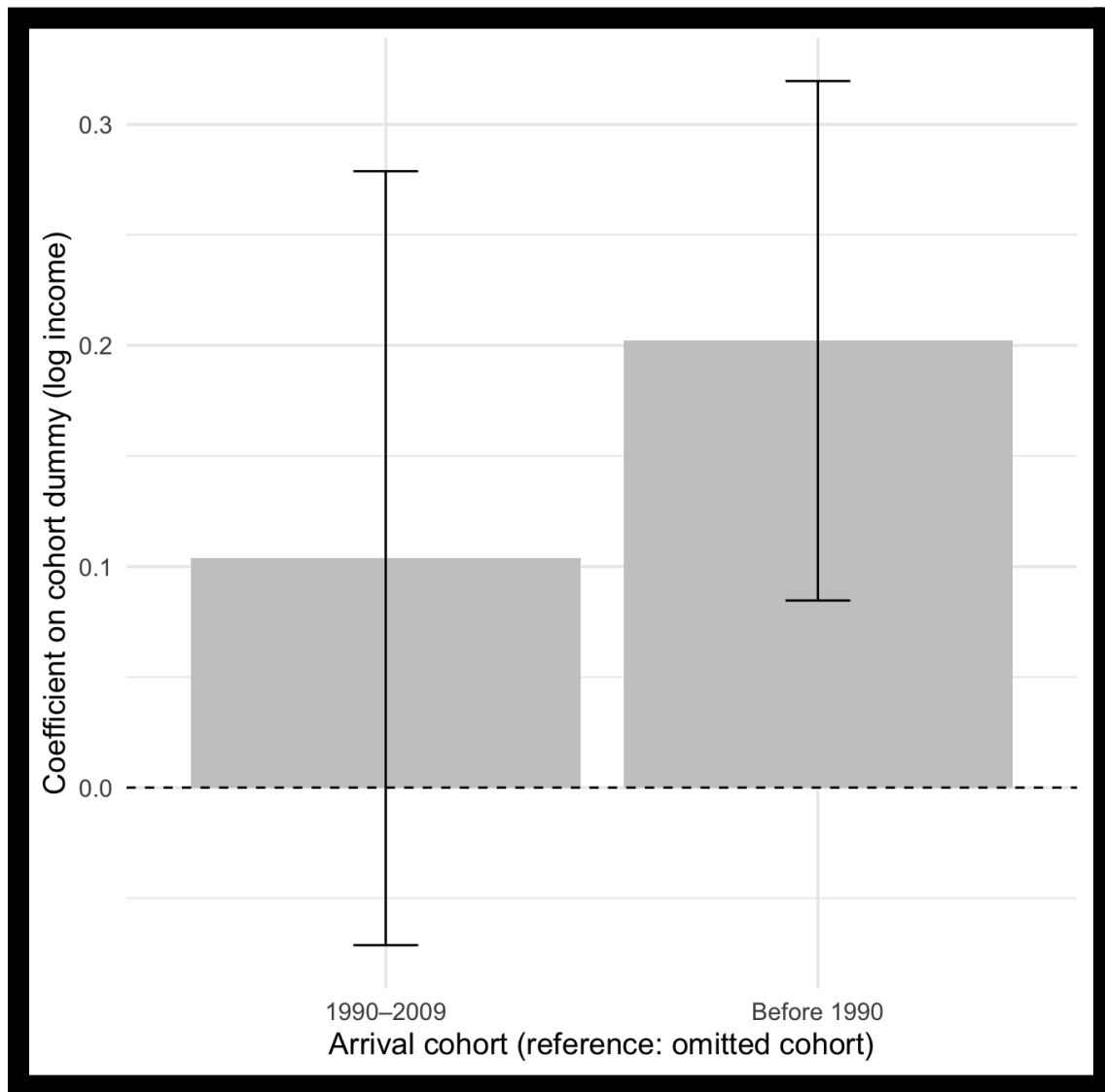
Time in the U.S. matters; earnings rise as immigrants integrate and gain experience.

Figure 4.
Immigrant Earnings Gap Across Models



NOTE: The immigrant wage gap is large with basic controls, becomes even more negative with state effects, and nearly disappears once industry and occupation fixed effects are added, showing the raw gap is mostly explained by job sorting, not unequal pay.

Figure 5.
Earnings Differences Across Immigrant Arrival Cohorts



NOTE: Immigrants arriving before 1990 earn more than the reference group, while the 1990–2009 cohort shows smaller and more uncertain differences. The wide confidence intervals highlight strong variation in earnings across arrival cohorts.

Discussion of Extended Results

Immigrant wage differences change substantially depending on which controls are included. In the simplest regression, immigrants appear to earn much less than natives. Adding state fixed effects makes the gap even larger, suggesting that immigrants tend to live in higher-income states and that the simple model understated the difference. When industry and occupation fixed effects are introduced, the wage penalty essentially disappears and becomes slightly positive, showing that immigrants and natives earn very similar wages when performing the same type of job. This indicates that much of the raw earnings gap reflects where immigrants live and the jobs they hold, rather than lower pay for equal work.

The robustness checks reinforce this interpretation. Among full-time workers, immigrants actually earn slightly more than comparable natives. When examining men and women separately, the immigrant penalty is much larger for men, while immigrant women face a smaller gap. Differences across arrival cohorts also point to assimilation effects: recent immigrants face larger earnings penalties, whereas long-term immigrants benefit more strongly from education and experience. These patterns highlight how factors such as hours worked, gender, education, and time spent in the United States shape earnings differences.

Overall, the evidence suggests that immigrants contribute significantly to the labor market and that most observed wage differences arise from job sorting, occupation mix, and assimilation stage rather than lower productivity. Education yields high returns for immigrants, and earnings tend to converge as they gain experience and move into higher-paying roles. Once major confounding factors are controlled for, immigrants and natives earn very similar wages when performing comparable work.

6. Additional In-Depth Analysis

Returns to Experience – Immigrants vs. Natives

Understanding whether immigrants receive different returns to work experience helps explain why wage gaps persist. Earlier results showed that the wage gap becomes smaller once we control for job characteristics, that education provides especially strong benefits for immigrants, and that different immigrant cohorts earn very different amounts. A natural next question is whether immigrants earn less partly because their experience leads to smaller wage increases in the U.S. To study this, we estimate a regression where log income depends on experience, experience squared, immigrant status, and an interaction between immigrant status and experience, along with controls for gender and education. Instead of focusing on the full equation, the main idea is that the interaction term tells us whether experience raises income at different rates for immigrants and natives.

The results show that experience raises income for both groups, but natives gain more from each extra year of experience. The interaction term points to weaker returns to experience for immigrants, meaning their earnings grow more slowly over time. When we plot predicted earnings from 0 to 70 years of experience, natives show a much steeper upward path, while immigrants start lower and grow more gradually. As years of experience accumulate, the earnings gap between the groups widens. This pattern supports the idea that foreign experience may be undervalued or that immigrants face early barriers before fully integrating into the U.S. labor market.

Overall, the analysis suggests that lower returns to experience are an important reason for the immigrant–native wage gap. Combined with earlier findings on occupational sorting and the strong payoff to education for immigrants, this evidence shows that immigrants often begin their U.S. careers at a disadvantage and see slower earnings growth than comparable native-born workers, which helps explain persistent differences in income between the two groups.

7. Conclusion

This project set out to answer a simple but important question: Are immigrants in the United States active and economically important contributors to the U.S. labor market and society? Using IPUMS CPS microdata, we examined immigrants' income, employment, hours worked, industry and occupation patterns, and how these outcomes vary across arrival cohorts. The goal was not to make a moral judgment, but to provide clear empirical evidence that helps readers form their own informed views.

The descriptive statistics show that immigrants are clearly attached to the labor market: they are working-age adults, employed, and supplying substantial hours and weeks of work over the year. Although mean income is lower for immigrants than for natives, immigrants are present across a wide range of industries and occupations and work almost as many weeks and hours as natives on average. These patterns already point to immigrants as active participants in production rather than peripheral or marginal workers.

The regression analysis refines this picture. In the simplest specification, immigrants appear to earn substantially less than natives, with an earnings gap on the order of 48–50 percent. Adding controls for age, gender, and education reduces this gap but does not eliminate it, showing that part of the difference reflects observable characteristics. However, once we introduce state fixed effects, and especially when we further control industry and occupation, the story changes. Within the same state, industry, and occupation, the immigrant coefficient becomes slightly positive, indicating that immigrants earn similar or even slightly higher wages than natives doing comparable work. Robustness checks restricted to full-time workers confirm this pattern, while separate analyses by gender and arrival cohort highlight the importance of occupational sorting, education, and assimilation over time. In other words, the large raw wage gap is mostly driven by where immigrants live and the kinds of jobs they hold, not by lower pay for equal work.

Section 6 adds further depth by examining whether immigrants and natives receive different returns to labor-market experience. The results show that while income rises with experience for both groups, immigrants gain more slowly: native workers receive steeper returns to experience, causing the wage gap to widen over time. This pattern suggests that foreign experience may be undervalued in the U.S. labor market or that immigrants face early barriers that gradually diminish. Combined with earlier findings, this helps explain why immigrant–native earnings differences persist even after controlling for job type and location.

These findings align closely with the academic literature reviewed in Section 2. Peri's *Immigrants, Productivity, and Labor Markets* emphasizes that immigrants specialize in different tasks than natives, allowing natives to move into communication-intensive and managerial roles, which increases overall productivity. The National Academies' *Economic and Fiscal Consequences of Immigration* similarly shows that immigrants contribute positively to long-run economic output and fiscal capacity, especially through their labor supply and the future contributions of their children. Research on cities and regions, such as *Immigration and the Economy of Cities and Regions*, further demonstrates that immigrant concentrations stimulate regional productivity, labor-market dynamism, and urban economic growth.

Our CPS-based analysis complements these findings by showing that immigrants are strongly attached to the labor market, often work long hours, and - when performing similar jobs in similar locations - earn wages comparable to or slightly higher than native-born workers. At the same time, the additional analysis of experience reveals that slower earnings growth is an important mechanism contributing to long-run wage gaps. Together, these results suggest that immigrants begin their U.S. careers at a disadvantage but improve substantially with time, education, and occupational mobility.

Taken together, the descriptive evidence and regression results point to a clear conclusion: immigrants are economically important contributors to the U.S. labor market and society. Much of the raw immigrant-native earnings gap can be explained by differences in location, occupation, industry, and assimilation stage rather than lower productivity. Once major confounding factors are accounted for, immigrant and native workers perform similarly - and often identically - within comparable roles. The additional evidence on returns to experience further clarifies why some gaps persist. Overall, the findings reinforce the broader insights from the literature and support the view that immigrants are fundamental to the economic vitality of the United States.

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